Tubes, premium watch retailer Ethos, health drink and food supplement maker Hexagon Nutrition, digital certificates firm eMudhra, and manufacturer of speciality chemicals and advanced intermediates Aether Industries.

"The delay in the LIC IPO was like a big hangover for the markets, but with that out of the way, many companies want to raise capital from the markets, whether the timing is good or bad," says Arun Kejriwal, a stock market expert and founder of Kejriwal Research & Investment Services. That they may get only a part of their original expectation doesn't matter either, as there's no saying what's in store in the markets in the near future, he adds. "There are about 50-60 IPOs lined up this year, which together could raise between Rs 70,000 crore and Rs 90,000 crore," Kejriwal reveals. The high OFS component in IPOs has made Rs 800-1,000 crore a standard size.

Volatility, of course, is a known behavioural trait of stock markets. Even so, the geopolitical uncertainty unleashed by Russian aggression has thrown the global economy into a tizzy. The pandemic had already stoked prices, the conflict in Ukraine pushed global inflation past 6 per cent as consumers the world over

RBI RATE HIKE

THE REPO RISE SURPRISE

After resisting the urge for nearly two years, the RBI (Reserve Bank of India) finally bit the bullet on May 4. It hiked the repo rate, or the rate at which it lends to commercial banks, by 40 basis points (bps, 1 bps is a hundredth of a percentage point), taking it to 4.4 per cent. No one saw it coming, especially as the RBI's quarterly monetary policy committee (MPC) meeting in April gave no such inkling, though the inflation numbers were looking troubling even then. You are already paying high food and fuel prices, now add costlier loans, be it personal, auto or housing.

The first hike since the pandemic began, it restores the repo rate to the April 2020 level. The RBI also increased the cash reserve ratio (CRR) requirement by 50 bps to 4.5 per cent. CRR is the share of deposits banks are mandated to park with RBI. The move will remove a large amount of cash from the banking system, crimping the banks' ability to lend. RBI's announcement came hours before its US counterpart, the Federal Reserve or Fed, announced a 50 bps hike in its short-term interest rate, its most aggressive move since 2000 as it fights its worst inflation in 40 years.

Indian stock markets reacted immediately to the hike, with the BSE Sensex falling 1,307 points on May 4. US stock markets remained stable on May 4 as investors had factored in the impending rate hikes, but went into a tailspin thereafter. On May 5, the Dow Jones Industrial Average lost 1,063 points or 3.12 per cent, its worst single-day drop since 2020.

The moves by the central banks signal the end of the low interest regime that helped businesses and individuals borrow cheaply, boosting growth. The hike itself wasn't the surprise—many anticipate even a 100 bps hike this financial year—its timing was. In April, RBI's MPC had chosen to maintain status quo and ignore inflation. Consumer price inflation rose to 6.95 per cent in March from 6.07 per cent in February and 6.01 per cent in January. In April, it is likely to be 7.4-7.5 per cent. It will be the fourth month in a row when inflation will breach the RBI's 6 per cent outer limit. "The RBI suddenly feels inflation is a much greater threat than it had earlier thought," says Madan Sabnavis, chief economist with the Bank of Baroda (BoB). "Also, inflation could continue to be in the range of 7 per cent for a longer period of time." If inflation

